

Trading Psychology Cheat Sheet

The 10 most common behavioral mistakes and exactly how to fix each one.

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Most traders do not lose money because they cannot read charts. They lose money because of how they behave under pressure. Discipline, emotional control, and behavioral consistency are not soft skills — they are the primary determinants of long-term trading profitability. These are the 10 behavioral patterns that destroy trading accounts, and what to do about each one.

1

Revenge Trading

After a loss, the overwhelming urge to immediately make it back by taking another trade — often larger and in a less disciplined setup. The psychology: the brain registers the loss as a threat and wants to neutralize it immediately. The reality: a second emotional trade almost always compounds the first loss. Fix: Define your daily max loss before you open your platform. The moment you hit it, your trading day is over.

2

FOMO — Fear of Missing Out

Chasing a stock that has already moved significantly because you feel like you are missing the opportunity. The psychology: watching a stock you were watching run 15% without you feels worse than an actual loss. The reality: chasing is how you guarantee a bad entry. Fix: Accept that you missed this move. Write it in your journal. The next setup is always coming.

3

Overtrading

Taking too many trades, often out of boredom, restlessness, or the belief that more activity equals more opportunity. The best traders take fewer trades than average, not more. Fix: Require every trade to pass a specific checklist before you enter. If the checklist is not fully met, there is no trade — regardless of how it looks.

4

Moving Your Stop Loss

Moving your stop further from your entry when a trade goes against you to avoid booking a loss. The psychology: the brain desperately wants to avoid the pain of realizing a loss. The reality: the stop was right when you set it. Moving it is the only mechanism by which a small, planned loss becomes a large, unplanned, account-damaging one.

5

Averaging Down Into Losers

Adding to a position that is going against you because the current price feels cheaper than your entry. This is not a strategy — it is hope masquerading as a strategy. Fix: Your stop defines when you are wrong. When you are wrong, you exit. You do not add. Averaging down into losers is the most common mechanism for catastrophic account drawdowns.

6

Taking Profits Too Early

Exiting winning trades the moment they show any profit out of fear they will reverse. This creates an asymmetric result: you take small wins and large losses. Fix: Set a specific target before entry. Use a partial exit strategy — take half off at your first target, trail the stop on the remaining shares.

7

Ignoring the Broader Market

Taking aggressive long positions while SPY and QQQ are selling off hard. Individual stocks rarely swim upstream against a strong market current. Fix: Check the indexes before every trade. If the market is against your direction, either stay out or reduce your size significantly.

8

Trading Without a Plan

Entering trades without a clearly defined entry trigger, stop loss level, and price target. You cannot manage a trade you did not plan. Fix: Write down or mentally define all three before you click the buy button. If you cannot define all three, you do not have a trade — you have a guess.

9

Overconfidence After Wins

After a strong run of profitable trades, increasing position size significantly because of recent confidence. The psychology: recent wins make risk feel smaller. The reality: the next trade has the same probability of success as it always did. Fix: Position size is determined by account size and risk percentage — not by your recent P&L.

10

Failing to Review Trades

Trading every day without systematically reviewing what is working and what is not. Without review, you repeat the same mistakes indefinitely. Fix: Journal every trade with your entry reason, what happened, and what you could improve. Review your journal weekly. Your data will tell you exactly where you are making money and where you are losing it.

BEHAVIORAL SELF-ASSESSMENT — CHECK EVERY ONE THAT APPLIES TO YOU

Be honest. The purpose of this assessment is to identify which behavioral patterns to prioritize working on.

- ☐ I have taken a trade immediately after a loss specifically to try to recover that loss
- ☐ I have chased a stock after it already moved significantly because I felt like I was missing out
- ☐ I have taken more than 6 trades in a single day with no clear reason for each one
- ☐ I have moved my stop loss further away from my entry to avoid booking a loss
- ☐ I have added shares to a losing position hoping it would come back
- ☐ I have sold a winning trade within minutes of entry out of fear it would reverse
- ☐ I have entered a trade without knowing my exact stop loss and target price first
- ☐ I have taken significantly larger positions after a winning streak
- ☐ I have gone more than one week without reviewing and journaling my trades
- ☐ I have traded while angry, frustrated, or immediately after a significant loss

TST SCORING

0 to 2 checks: strong behavioral discipline. 3 to 5 checks: these specific areas need focused work. 6 or more checks: behavioral patterns are likely your primary source of losses — prioritize this above any technical skill development. You will not profit consistently from a better chart reading system while these patterns persist.

The full trading psychology module is included in the TST Academy course at topstocktrading.com